



Skema Business School

MSc Corporate Financial Management

Capital Structure and Dividend Policy

Introduction to the course

Academic year 2026–2027

My Role in This Course

You already know the Corporate Finance foundations. My role is to help you use them to make financing and payout decisions.

CONNECT

Connect financial theory to real financing and payout decisions

INTERPRET

Explain what leverage, WACC and payout choices actually mean

SELECT

Help you choose an appropriate financing and payout policy

CHALLENGE

Question debt capacity, tax benefits, distress risk and payout assumptions

DEFEND

Help you build a recommendation that you can explain and defend

The objective is not simply to calculate WACC or leverage — it is to understand when financial policy can create or destroy value.

Why Does Financial Policy Matter?

Financing and payout choices affect major corporate decisions

Financing: How much debt should the firm use?

Valuation: Can leverage reduce WACC or increase firm value?

Risk: How much financial distress can the firm tolerate?

Investment: Will financing constrain future projects?

Payout: Retain cash, pay dividends or repurchase shares?

Markets: What signals do financing and payout choices send?

FINANCING

Debt vs equity

RISK

Flexibility & distress

PAYOUT

Dividends & buybacks

You do not study capital structure to maximize debt. You study it to understand the trade-off between value, risk and financial flexibility.

At the End of This Course, You Will Be Able To:

Understand cost of capital

Explain cost of capital, WACC and their link to firm value

Explain MM

Apply Modigliani–Miller Propositions I & II and understand the intuition

Evaluate leverage

Assess tax shields, distress costs, agency effects and debt capacity

Explain financing choices

Use trade-off, agency and adverse-selection / pecking-order reasoning

Evaluate payout policy

Assess dividends, repurchases, signaling, taxes and agency effects

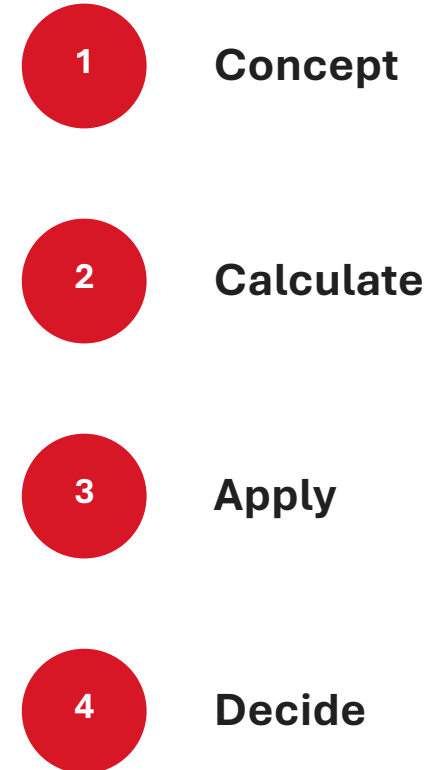
Apply financial-policy theory

Use the course frameworks to analyze capital-structure and payout decisions

Course Organization

How the course is structured

- 6 face-to-face sessions
- Theory and financial intuition
- Applied examples and exercises
- Company cases and group work
- Prior knowledge of Corporate Finance is assumed



The rhythm is simple: understand the concept → quantify the effect → apply it to a company → defend the financial decision.

Topics We Will Cover

1. Cost of Capital & Firm Value
2. Modigliani–Miller & Leverage
3. Financial Distress & Trade-Off Theory
4. Agency, Adverse Selection & Pecking Order
5. Dividend Policy: MM, Taxes & Signaling
6. Dividends, Share Repurchases & Payout Policy

From cost of capital → to leverage, distress and financing frictions → to dividends and share repurchases.

Reference Books

Main reference

Jonathan Berk & Peter DeMarzo

Corporate Finance

Primary reference for capital structure, payout policy and corporate-finance applications.

Additional reference

Richard Brealey, Stewart Myers & Franklin Allen

Principles of Corporate Finance

Useful for intuition, theory and practical financing decisions.

Use the books to reinforce concepts, examples and applications. Course materials and instructions will be available on K2.

Course Evaluation

10%

Class Participation

Individual Grade

Class discussions
in-class exercises
financial reasoning

30%

Applied Group Cases

Collective Grade

Capital-structure case
payout-policy case
analysis & recommendation

20%

Mid-term Exam

Individual Grade

Conceptual MCQ-based exam

40%

Final Exam

Individual Grade

MCQs
open questions
Shortcases/exercises

Applied Cases — Group Work

1

FORM YOUR GROUP

Work in groups

Collaborate on analysis and recommendation

2

CAPITAL STRUCTURE CASE

Hill Country Snack Foods

Should the company increase leverage?

3

PAYOUT POLICY CASE

Linear Technology

How should excess cash be distributed?

Your analysis should address

- Quantitative impact on value, risk and financing capacity
- Relevant theory and assumptions
- Clear recommendation supported by evidence

Important rules

- Do not simply describe the case — identify the financial decision and trade-offs
- Make assumptions explicit and keep calculations internally consistent

Build a recommendation you can explain and defend — not simply a numerical answer.

In Class This Semester

- Bring a calculator or spreadsheet-enabled device when requested
- Participate actively in financing and payout discussions
- Be prepared to explain assumptions, not only calculations
- Different recommendations may be possible — but reasoning must be defensible
- Connect theory to the economics of the company
- Be professional and active.

What matters most

Clear reasoning

Consistent assumptions

Economic intuition

Ability to explain the trade-off

A good financial-policy recommendation is not the one with the most debt or the highest payout. It is the one that best balances value, risk and flexibility.

Let's Begin

Can financial policy create value?

And if so, under what conditions?

DEBT

Tax benefits

EQUITY

Financial flexibility

PAYOUT

Cash returned to investors